

Let's understand Put Options with an example.

Let's say, a Put Option buyer buys Put options at ₹2200 as strike price and pays ₹50 as premium. So, they buy 2200PE at premium of ₹50 per unit. Lets take 2 scenarios.



BUYER'S PERSPECTIVE

We can see that the Exercise Price < Strike price for the put option. In this case, the buyer will receive a payoff of ₹100.

Here, the buyer had also paid a premium of ₹50. So, overall profits for them :

Profit of the buyer	
Strike Price	₹2200
- Price at expiry	(₹2100)
Profit before premium	₹100
- Premium	(₹50)
Profit of the buyer	₹50



SELLER'S PERSPECTIVE

$$\begin{array}{ccc} \text{Profit of the Buyer} & = & \text{Loss of the Seller} \\ ₹50 & & ₹50 \end{array}$$

The seller is on the exact opposite end of the contract. So, in this case, the Options seller will make a payoff of ₹100 to the buyer. However, they also received ₹50 as premium. Total loss of the seller = ₹100 - ₹50 = ₹50. This is how profits and losses will be calculated for the buyer and seller when the Exercise price < Strike Price.